IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No301

CA(CAA)/70(AHM)2022

Proceedings under Section 230-232 Co. Act, 2013

IN THE MATTER OF:

NJ India Invest Private Limited **.....Applicant**
NJ Financial Services Private Limited

.....Respondent

Order delivered on 25/04/2023

Coram:

Deep Chandra Joshi, Hon'ble Member(J)
Ajai Das Mehrotra, Hon'ble Member(T)

PRESENT:

For the Applicant : Mr. Ravi Pahwa, Adv.
For the Respondent :

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-Sd-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-Sd-

DEEP CHANDRA JOSHI
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
(COURT NO. II)

CA (CAA) 70/AHM/2022

IN THE MATTER OF THE COMPANIES ACT, 2013
[In the matter of Section 230 read with Section 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013]

SCHEME OF ARRANGEMENT

BETWEEN

NJ INDIA INVEST PRIVATE LIMITED,
(Applicant Company No. 1/Demerged Company)

AND

NJ FINANCIAL SERVICES PRIVATE LIMITED,
(Applicant Company No. 2/Resulting Company)

AND

Their Respective Shareholders and Creditors

Order Pronounced on: 25.04.2023

Coram:
DEEP CHANDRA JOSHI,
HON'BLE MEMBER (JUDICIAL)
AJAI DAS MEHROTRA,
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

NJ INDIA INVEST PRIVATE LIMITED,
(CIN: U67120GJ2000PTC037674)
Registered office at;
Block No. 901 & 902,
6th Floor, 'B' Tower,
Udhna Udyog Nagar Sangh
Commercial Complex, Central Road No. 10,
Udhna, Surat – 394210, Gujarat.

…Applicant Company No. 1/
Demerged Company

AND

NJ FINANCIAL SERVICES PRIVATE LIMITED,
(CIN: U67100GJ2022PTC134573)
Registered office at;
901, 6th Floor, B Tower,
Udhna Udyognagar Sangh Complex,
Central Road No. 10,
Udhna, Surat – 394210, Gujarat.

…Applicant Company No. 2/
Resulting Company

For the Applicants: Mr. Navin Pahwa, Sr. Adv., a.w. Mr. Ravi Pahwa Adv.

ORDER

1. The present joint Application is filed under Section 230-232 read with other applicable provisions of the Companies Act, 2013 (hereinafter referred to as "**the Act**"). The proposed Composite Scheme of Arrangement is between **NJ**

India Invest Private Limited (For brevity – Applicant Company No. 1) and **NJ Financial Services Private Limited** (For brevity – Applicant Company No. 2) and their respective Shareholders and Creditors.

2. Affidavits are filed in support of the Application sworn for and on behalf of applicant company No. 1 by Mr. Niraj Choksi and for the applicant company No. 2 by Mr. Jignesh Desai being authorized representative for the applicant companies duly authorized vide Board resolutions passed in the respective meeting of Board of Directors on 30.09.2022 for the respective applicant companies. It is represented that the Registered Office of both the Applicant Companies are situated within the territorial jurisdiction of this Tribunal and the Registrar of Companies, Ahmedabad.

3. It is submitted that the Applicant Company No. 1 having CIN: U67120GJ2000PTC037674 is incorporated, under the provisions of the Companies Act, 1956, and is presently having its Registered office at; Block No. 901 & 902, 6th Floor, 'B' Tower, Udhna Udyog Nagar Sangh Commercial Complex, Central Road No. 10, Udhna, Surat – 394210, Gujarat. The Authorised Share Capital of the applicant company No. 1 is Rs. 5,00,00,000/- which is divided into 1,00,00,000 Equity shares of Rs. 5/- each. The issued, Subscribed, and Paid-up Share Capital of the Company is Rs. 4,34,68,075/- which is divided into 86,93,615 equity shares of Rs. 5/- each.

4. It is submitted by the applicant companies that after 31st August 2022 and till the date the Scheme is approved by the Board of Directors of the Demerged

Company, the Demerged Company has further issued 15,671 shares on account of the vesting of Employees' Stock Option Plan.

5. It is submitted that the Applicant Company No. 2 having CIN: U67100GJ2022PTC134573 is incorporated, under the provisions of the Companies Act, 2013, and is presently having its Registered office at; 901, 6th Floor, B Tower, Udhna Udyognagar Sangh Complex, Central Road No. 10, Udhna, Surat – 394210, Gujarat. The Authorised Share Capital of the Applicant No. 2 is Rs. 10,00,000/- which is divided into 1,00,000 Equity shares of Rs. 10/- each. The issued, Subscribed, and Paid-up Share Capital of the Company is Rs. 10,00,000/- which is divided into 1,00,000 equity shares of Rs. 10/- each.
6. It is submitted that the applicant company No. 1 carries on the business as advisors, canvassers, consultants, market makers, developers, brokers, Sub-brokers of all types of financial products including Shares, Securities, Fixed Deposits, GOI Securities, Units of Mutual Funds, Insurance products, Government Securities, RBI Securities and similar businesses on Secondary Market Trading on any Stock Exchanges of India either as a direct member of the Stock Exchange or as Sub-brokers, etc.
7. It is submitted that the applicant company No. 2 carries on the business, whether in India or elsewhere, as agents, sub-agents, franchisers, marketers, representatives, traders, liasioners, distributors, advisors, brokers, sub-brokers, of all types of financial products including loans from various banks,

NBFCs or financial institutions, shares, securities, bonds, fixed deposits, COI securities, units of mutual funds, Insurance products, Government Securities, RBI securities and of all types of non-financial products including but not limited to act as developer and commission agent for immovable properties and for that purpose to purchase, acquire, own, possess, buy, sell, re-sell immovable properties, to distribute consumer goods including all home care products, personal care products, health care products, technology and software product and solutions, etc. and to carry all other similar ancillary businesses, etc.

8. It is also represented that the registered offices of both the applicant companies are situated within the territorial jurisdiction of Registrar of Companies, Ahmedabad, Gujarat, which is falling under the jurisdiction of this Tribunal.
9. The Applicant Companies have filed their respective Memoranda and Articles of Association inter alia delineating their object clauses along with their last audited financial statements for the year dated 31.03.2022 and the applicant company No. 1 also filed their unaudited provisional financial statement for the period 31.03.2021, respectively.
10. It is further submitted that both the Applicant Companies are not listed companies, hence approval of SEBI, is not required. It is further submitted that the provisions of RBI and the Competition Act, 2002 are not applicable to the present Scheme and no notice is required to be issued to the said authority.

11. Both the Applicant Companies have placed on record their Valuation Reports prepared by Registered valuer Mr. Hitendra Ranka Chartered Accountants (IBBI registration Number- IBBI/RV/06/2019/11695).

12. Rationale and purpose of the Scheme: The scheme of arrangement is stated as under:

    i) NJ India Invest Private Limited('NJII') or the Demerged Company is engaged inter alia in the business of distribution of financial products. It is a registered trading member of BSE, NSE, and ICEX and also acts as a Depository Participant of CDSL and NSDL.

    ii) In addition to this, the Demerged Company also acts as an intermediary for the distribution of loans. Further NJII also holds investments in various group companies engaged in different business activities, including investments in Non-banking Financial Companies, etc.

    iii) Pursuant to Rule 8(1)(f) and Rule 8(3)(f) of Securities Contracts (Regulation) Rules, 1957 ("SCRR"), and the National Stock Exchange & Bombay Stock Exchange Clarification Circular dated 7th January 2022, the members of a Stock Exchange, except those provided under Rule 8(8) of SCRR, are not allowed to engage either as principal or employee, in any business, other than that of securities or commodity derivatives, except as a broker or agent, not involving any personal financial liability.

iv) In order to comply with the provisions of the aforesaid circular and to segregate the securities business and all businesses ancillary to the securities business under one roof and other businesses into separate verticals, it is proposed to transfer and vest the Demerged Undertaking of NJII into the Resulting company through the Scheme, resulting into remaining business and assets including the immovable properties being held and owned by NJII ("Demerger").

v) This realignment through demerger will enable the management and Board of Directors of Demerged Company & Resulting Company to chart out independent strategies for their respective commercial operations in order to maximize value creation for their respective stakeholders as well as to comply with the provisions of Rule 8(1)(f) and Rule 8(3)(f) of SCRR and the relevant circulars of National Stock Exchange & Bombay Stock Exchange dated 7th January 2022, as mentioned in para 3.3. Demerger shall enhance the focus of management of NJII on their remaining business undertaking.

vi) The transfer and vesting shall achieve the following benefits for the Demerged Company and the Resulting Company:

a. The Demerger will enable better and more efficient management, control, and running of the Demerged Undertaking;

b. The Demerger will enable both Demerged Company and Resulting Company to achieve and fulfill their objectives more efficiently and offer opportunities to the management of both companies to pursue growth and expansion opportunities;

c. The Scheme shall be beneficial for the interest of the Companies, their shareholders, creditors, and employees.

vii) There is no adverse effect of the Scheme on any of the directors, Key Managerial personnel, promoters, non-promoter members, creditors, and employees of Demerged Company and the Resulting Company.

viii) In view of the above rationale, the Board recommended a Scheme of Arrangement whereby the Demerged Undertaking of Demerged Company will be demerged into the Resulting Company as a going concern with effect from the Appointed Date. Accordingly, the Board of Directors of Demerged Company and Resulting Company have decided to make requisite applications before the Tribunal under Sections 230 to 232 of the Act and other applicable provisions for the sanction of this Scheme.

ix) Thus, with the aforesaid objectives, it is proposed to demerge the Demerged Undertaking into the Resulting Company.

13. The Board of Directors of both the applicant companies have unanimously approved the proposed scheme of arrangement as contemplated above. Copies of respective board resolutions of both the applicant companies dated 30.09.2022 passed in their respective board meetings have been placed on record.

14. The certificates issued by the Statutory Auditor under section 133 of the Companies Act, 2013, of all the applicant companies are placed on record.

15. Both the applicant companies have submitted that no investigation proceedings against both the Applicant Companies are pending under sections 210 to 227 of the Companies Act, 2013.

16. With respect to the **Applicant Company No. 1,** it is stated that:

    a) There are 198 equity shareholders as on 30/09/2022 and certificate from Chartered Accountant certifying list of shareholders is annexed. All equity shareholders have given their consent by way of affidavits for the proposed composite scheme of arrangement. The copies of the consent affidavits of all equity shareholders are annexed with the application. Hence, the company is seeking dispensation for holding/convening the meeting of equity shareholders.

    b) There is NIL secured creditor as of 31/08/2022 and a certificate from a Chartered Accountant certifying the list of the secured creditor is annexed. In view of the same, the question of holding the meeting of creditors does not arise.

c) There are 10,244 unsecured creditors as of 31/08/2022 and a certificate from a Chartered Accountant certifying a list of the unsecured creditors is annexed with application. The company is seeking direction for holding and convening the meeting of unsecured creditors.

17. With respect to the **Applicant Company No. 2,** it is stated that:

a) There are 2 equity shareholders and a certificate from a Chartered Accountant certifying the list of shareholders is annexed and both equity shareholders have given their consent by way of affidavits for the proposed composite scheme of arrangement. The copies of the consent affidavits of all equity shareholders are annexed with the application. Hence, the company is seeking dispensation for holding/convening the meeting of equity shareholders.

b) There is a NIL secured creditor and a certificate from a Chartered Accountant certifying the list of the secured creditor is annexed. In view of the same, the question of holding the meeting of creditors does not arise.

c) There is 1 unsecured creditor of Rs. 6,251/- and a certificate from a Chartered Accountant certifying the list of the unsecured creditor is annexed with the application. A copy of the consent affidavit of unsecured creditors is annexed with the application. Hence, the company is seeking dispensation for holding/convening the meeting of unsecured creditors.

18. The bench sought some clarification vide order dated 07.03.2023, in compliance with this order, the applicant company no. 1 filed an affidavit on 14.03.2023 and annexed the copy of the original consent affidavit of the equity shareholders of serial no. 19, 91, 112, and 125 of the CA lists. Further, the applicant company no. 2 also filed the original consent affidavit of the unsecured creditor, a copy of the same also annexed with an affidavit dated 14.03.2023.

19. Taking into consideration the submissions and the documents filed therewith, we issue the following directions:

i) In relation to Applicant Company No. 1:

a. With respect to Equity Shareholders:

Convening of the meeting of equity shareholders of the company is hereby dispensed with, in view of 100% consent affidavits of shareholders on record.

b. With respect to Secured Creditors:

There are no secured creditors. Hence, the convening of the meeting of secured creditors is obviated.

c. With respect to Unsecured Creditors:

The meeting of the Unsecured Creditors of the Company shall be convened on 05/06/2023 at 11:00 am. The quorum for the meetings of the Unsecured Creditors shall be as per Rule 5 of the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

ii) In relation to the Applicant Company No. 2:

a. With respect to Equity Shareholders:

Convening of the meeting of equity shareholders of the company is hereby dispensed with, in view of 100% consent affidavits of shareholders on record.

b. With respect to Secured Creditors:

There are no secured creditors. Hence, the convening of the meeting of secured creditors is obviated.

c. With respect to Unsecured Creditors:

Convening of the meeting of unsecured creditors of the company is hereby dispensed with, in view of 100% consent affidavits of shareholders on record.

20. The meeting of the unsecured creditors of the Applicant Company No. 1 shall be held at 901, 6th Floor, 'B' Tower, Udhna Udyognagar Sangh Complex, Central Road Number 10, Udhna, Surat, Gujarat 394210, Gujarat for the purpose of considering and, if thought fit, approving with or without modifications the proposed Scheme, by physical or virtual mode.

21. Notice to the convening of the said meeting, indicating the day, date, place, and time, as aforesaid, shall be published in English daily, “Economic Times,” Surat Edition and a Gujarati translation thereof in “Gujarat Samachar”, Surat Edition, 30 days prior to the date of the meeting. The publication shall indicate the time within which copies of the scheme shall be

made available to the concerned persons free of charge from the respective registered office of the applicant company No. 1. The publication shall also indicate that the statement required to be furnished according to the section 102 of the Act read with Section 230 to 232 of the Act and the prescribed form of proxy can be obtained free of charge at the registered office of the applicant company No. 1 in accordance with the second proviso to sub-section 3 of Section 230 and rule 7 of the Companies (CAA) Rules, 2016.

22. In addition, at least one month before the date of the meeting to be held as aforesaid, a notice convening the said meeting, indicating the day, date, place and time, as aforesaid, together with a copy of the scheme, a copy of the statement required to be furnished pursuant to section 102 of the Act read with Sections 230 to 232 and Rule 6 of the Companies(CAA) Rules, shall be sent to all unsecured creditors of the applicant company No. 1 at their respective registered or last known addresses either by registered post or speed post, e-mail, by courier or by hand delivery. The notices shall be sent to unsecured creditors of the applicant company No. 1 with reference to the list of the persons appearing on the record of the applicant company No. 1 as of 30.8.2022.

23. Mr. Dhrumil Suchak Advocate is appointed as the chairperson, and in his absence Mr. Vatsal Vadera, Advocate is appointed as the alternate Chairperson of the above meetings, and Mr. Rajesh Parekh Company Secretary is appointed as scrutinizer and in his absence Mr. Sharvil Suthar,

practicing company secretary is appointed as the scrutinizer of the aforesaid meeting.

24. We direct Applicant Company No. 1 to pay the Chairperson a sum of Rs.50,000/- and to the Scrutinizer a sum of Rs.25,000/- as their fees.
25. The Chairperson shall file an affidavit not less than 7(seven) days before the date fixed for the holding of the meetings with respect to compliances made as required under the law.
26. The chairperson shall also file a report of the meeting in Form No. CAA.4, verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 in Form No. CAA. 4 within seven days from the date of the meeting.
27. In compliance of sub-section (5) of Section 230 and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Applicant Transferee Company shall send a notice in Form No.CAA.3 along with disclosures mentioned under Rule 6, to (i) the Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, Gujarat, and (iii) to the Income Tax Department along with full details of assessing officer and PAN numbers of all the applicant companies with a copy also to the office of Principal Chief Commissioner of Income Tax and to such other Sectoral Regulatory Authorities who may govern the working of the respective companies involved in the Scheme, if any, to be made by them shall be made within 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make

on the proposed Scheme. The said notices shall be sent forthwith by registered post or by speed post or by courier or by hand delivery or by an email at the office of the authority as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities, who desire to make any representation under sub-section (5) of Section 230, shall send the same to the Tribunal within a period of 30 days from the date of receipt of such notice, failing which it will be deemed that they have no representation to make on the proposed arrangement.

28. The Application is allowed and disposed of in terms of the above directions.

-Sd-	**-Sd-**
AJAI DAS MEHROTRA	**DEEP CHANDRA JOSHI**
MEMBER (TECHNICAL)	**MEMBER (JUDICIAL)**

Abhishek Singh